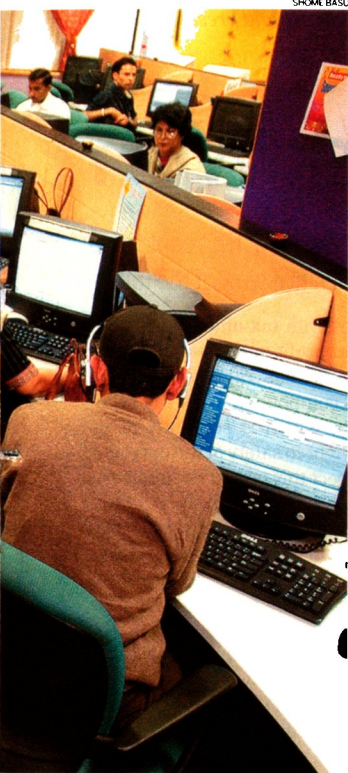




SHOME BASU



OUTSOURCING

Has said will take away tax breaks from companies that ship jobs abroad
WILL AFFECT: IT & ITES, pharmaceutical and manufacturing sectors
IMPACT: Cause for worry as it could hit Indian outsourcing business badly

H-1B VISAS

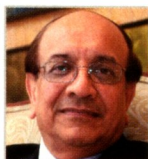
Wants more such visas, professionals to settle down
WILL AFFECT: Students, techies, all professionals
IMPACT: Positive for Indians, freer movement of labour

TRADE

Wants review of agreements, more open foreign markets, labour and environment standards
WILL AFFECT: Industry and farmers
IMPACT: Mixed; manufacturing and services could gain

FINANCIAL SECTOR

Promises to kick-start the American economy with tax breaks
WILL AFFECT: Industry, financial sector
IMPACT: Positive; will help exporters and trigger fund flows to stock markets



SOM MITTAL,
president, Nasscom

“We could start carrying icons of Hanuman and even Lakshmi along with our laptops.”



RAMAN ROY, CMD, Quattro
BPO Solutions

“We in India understand the difference between poll rhetoric and reality very well.”



INDIRA NOOYI, CEO,
Pepsico and chief, USIBC

“An investment treaty will give a new impetus to trade between the two countries.”

FOR THE \$55-BILLION IT & ITES SECTOR, OBAMA'S STATEMENT COULD MEAN TRYING TIMES

CEO, Oracle Financial Services BPO, says, “Outsourcing is not an option but a necessity. In the given recession, every company will be under pressure to cut costs.” Neeraj Bhargava, CEO of WNS Global Services, agrees, “Outsourcing is a value proposition that enables companies to improve efficiency and profitability.” He does not anticipate any slowdown in adoption of outsourcing in the medium to long term.

It is early days yet, and no administration or company can alter structures overnight. Jehil Thakkar, executive director, KPMG, feels, “Any administration will have tread carefully. Even if Obama wants to cut outsourcing in manufacturing and jobs, there is not much leeway.” Companies like General Motors and Ford are already losing

sales by 40 per cent and 30 per cent respectively. If they have to compete with Korean or Japanese companies in the US and elsewhere in the world, they would have to contend with the fact that these companies get components outsourced from auto hubs like India to be competitive.

There is also a question of capability and skill-set availability. Raman Roy, chairman and MD, Quattro BPO Solutions, uses an effective analogy to bring this point across. “For all we know the mike which Obama was talking into was made in China, the podium chair in some other country and the installation must have been overseen by an Indian engineer.” Very simply, the US, even if it changes its tax laws to ship back jobs, cannot create the capability for these tasks to be done at home.

Of course, the Indo-US business paradigm is not just about outsourcing. After China, the US is India's largest

trading partner and any change of regime and policy has implications. Obama's arrival also spells some serious positives. The opening up of the H-1B visa regime will create avenues for Indians and Indian companies to grow; Obama's focus to make the world trade structure work will be to India's benefit and, finally, a economically stronger US is good for the Indian economy.

Indra Nooyi, CEO of Pepsico and chief of the US-India Business Council, has mooted measures that the two great democracies can benefit from. “There is a clear case for an investment treaty,” says Nooyi. “This will give a new impetus to trade relations between the two countries which would lead to the creation of jobs and opportunities in both the countries.”

At the end of the day, Indian business will need to engage further to profit from the optimism that the Obama victory promises. ■